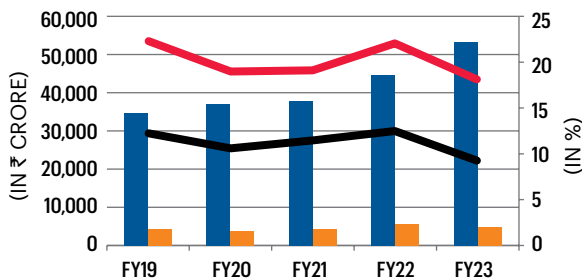


REPORT CARD

- Revenues have improved consistently over time
- Margins need to match rivals who clock over 15%

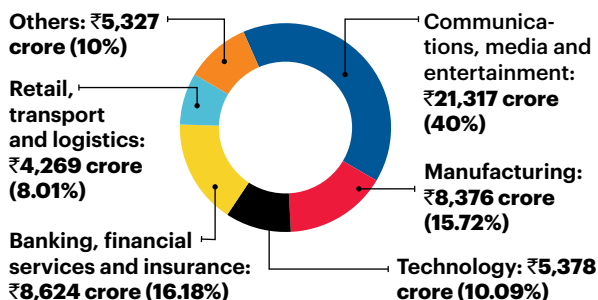


● GROSS SALES (LHS) ● PROFIT AFTER TAX (LHS)
 — NET PROFIT MARGIN (RHS)
 — RETURN ON EQUITY (RHS)

DATA ON A CONSOLIDATED BASIS **SOURCE** ACE EQUITY

REVENUE ROSTER

- The communications, media and entertainment segment has been the most significant revenue contributor
- The management sees a clear growth surge on the back of the AI opportunity



NOTE SEGMENT-WISE REVENUE BREAK-UP

SOURCE TECH MAHINDRA ANNUAL REPORT, 2023

Mahindra group, which makes cars, SUVs, and tractors and is involved in financial services, logistics, real estate, and technology services, among other things.

Joshi says Tech Mahindra's strength is its deep industry knowledge, whether manufacturing automobiles, powertrains, or financial services. When people want a factory running on AI, Tech Mahindra can walk into any Mahindra Powertrain factory that makes engines and gearboxes or the factories making cars, SUVs, and trucks and test its theories.

Joshi points out that the Mahindra factory in Chakan, near Pune in Maharashtra, is already in the future. "We show our overseas clients how technology has been implemented. If it is a use case in financial services, we can showcase Mahindra Finance," he says.

"We eat our own dog food, drink our own cham-

pagne," he says, citing Chakan. The group can also move people around—say, an auto design expert from the automobile business to Tech Mahindra.

Siddhesh Mehta, a Research Analyst at Samco Securities, says Tech Mahindra can use its synergies to provide clients with comprehensive solutions. He cites the relationship between chip manufacturers and automotive OEMs as an example. "It opens doors to new markets and clients that Tech Mahindra may not have been able to access independently. Plus, the benefit of shared R&D efforts leads to faster innovation and adoption of new technologies," he says.

Communications, media, and entertainment account for 40% (See graphic 'Revenue Roster'), and it is obvious why Joshi is so bullish about that segment and AI. "It is still at an early stage, similar to how electricity

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Barring TCS, none of the other IT players is a part of a diversified conglomerate



Mohit Joshi spent over two decades at Infosys before moving in as the boss at Tech Mahindra



Joshi is banking on artificial intelligence for Tech Mahindra to make a growth surge